

ORDER INTAKE RECOGNITION — PRIOR AUDIT PLAN & TESTING SUMMARY

Prior Audit Planner Output

WORK PAPER ID	WP-ORD-001	AUDIT CYCLE	FY2024 Q4
DATE PREPARED	November 2024	POLICY TESTED	POL-ORD-001 v1.0
CONTROL ID	CTRL-REV-014	PROCESS AREA	Order-to-Cash (O2C)
PREPARED BY	Internal Audit Team	STATUS	CLOSED — superseded Jan 2025

SUPERSEDED

Historical version retained for audit trail, prior-period testing and control traceability.

1. Audit Objective

To assess whether Order Intake was recognized and measured in accordance with POL-ORD-001 v1.0, and to evaluate the design and operating effectiveness of related controls (CTRL-REV-014).

2. Background and Scope

This audit plan was developed for the FY2024 Q4 audit cycle, covering Order Intake transactions booked between July 2024 and October 2024. Scope includes:

- Hardware/Software orders
- Standalone Services orders
- Bundled multi-element arrangements

3. Key Risk Indicators (KRIs)

KRI ID	KRI Description	Related Policy Clause	Risk Rating
KRI-001	Orders recognized without valid PO or contract	Section 5.1	High
KRI-002	Orders booked based on PO only, without countersigned contract	Section 5.2	Medium
KRI-003	Orders from low credit-rated customers booked without required sign-off	Section 5.3.2	High
KRI-004	Order Intake booked prior to satisfying timing criteria	Section 5.4	Medium

4. Audit Planning Steps

4.1 Step Mapping to Policy Clauses

Step #	Audit Step Description	Policy Clause Tested	Related KRI
1	Verify existence of valid PO for sampled orders	5.1	KRI-001
2	Confirm customer commitment evidenced by signed PO	5.2	KRI-002
3	Review credit rating classification and Finance Manager sign-off for orders rated below B	5.3.2	KRI-003
4	Confirm booking date aligns with PO receipt date	5.4	KRI-004

4.2 Sample Selection Approach

- Population: All orders booked Jul–Oct 2024 (n = 342)
- Sample size: 15 orders, judgmentally selected across 3 regions
- Stratification: Weighted toward orders >\$50,000 and customers rated below B

5. Testing Procedures Performed

- Inspected PO documentation for existence and completeness
- Traced credit rating classification to Group Credit Risk system
- Recalculated booking date against PO receipt date per Section 5.4
- Verified Finance Manager sign-off where credit rating below B

6. Findings Summary

Step #	Sample Size	Exceptions Noted	Exception Rate
1	15	0	0%
2	15	2	13.3%
3	6	1	16.7%
4	15	0	0%

Step 2: 2 orders were booked using PO only; no countersigned contract was on file at time of booking. This was compliant under v1.0 but flagged as a forward-looking risk given dual-document practice trends.

Step 3: 1 order from a customer rated C was booked without documented Finance Manager sign-off. Root cause: sign-off obtained verbally, not recorded in system.

7. Prior Period Recommendations

- Introduce a secondary commitment document requirement beyond PO alone
- Enhance credit risk assessment beyond single-factor credit rating to include payment history and country risk
- Formalize system-based sign-off workflow to eliminate verbal approval gaps

8. Forward-Looking Note for Next Cycle

Group Finance indicated a policy update to POL-ORD-001 was planned for Q1 2025, expected to address the recommendations above. The next audit cycle should re-baseline testing against the updated policy and re-assess KRI-002 and KRI-003 risk ratings.

9. Revision History

Version	Date	Summary of Change
1.0	Nov 2024	Initial work paper issuance

CLOSED WORK PAPER

WP-ORD-001 | FY2024 Q4